The Consulting Business

1. What clients actually buy

Clients don't buy slides. They buy a **better decision, made faster and with less risk** than they could manage alone. Five honest reasons they hire consultants:

- **Expertise**: they lack a skill or pattern library (pricing, M&A integration, AI architecture)
- **Capacity**: they know what to do but lack the people to do it in time
- **Objectivity**: an outsider can say what insiders can't, and compare against other companies
- **Speed**: a team that has done it twenty times gets there in weeks, not quarters
- **Legitimacy**: a board or regulator wants an independent view, or a leader needs backing for a hard call
- Ask early: 'what will you do with our answer, and who has to agree with it?'

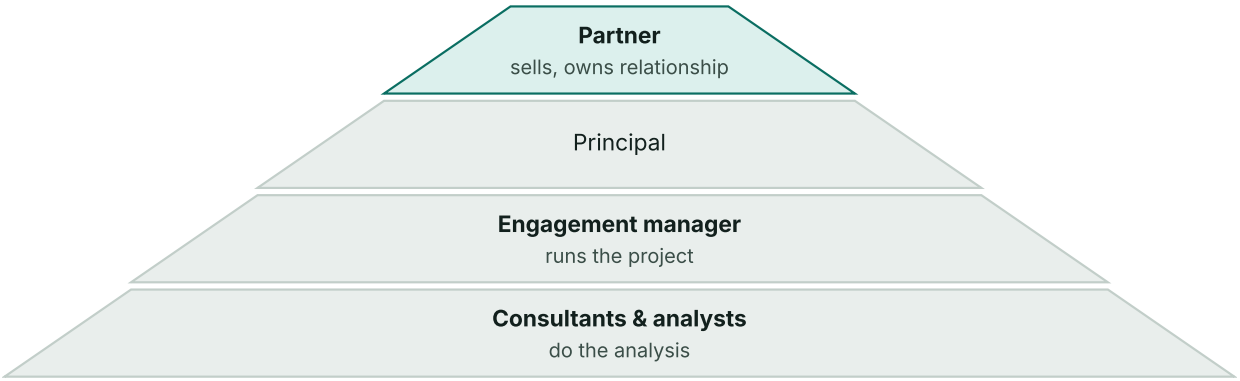
2. The firm landscape

- **Strategy houses (MBB)**: McKinsey, BCG, Bain. CEO-level strategy, growth, M&A, transformation
- **Big Four advisory**: Deloitte, PwC, EY, KPMG (with strategy arms like EY-Parthenon). Strategy through implementation, transactions, risk, tech and tax
- **Implementation & tech**: Accenture, Capgemini, IBM Consulting. Large multi-year programmes
- **Boutiques**: deep niche expertise · **In-house strategy teams**: same methods from the inside
- Practice areas: strategy, operations, technology & digital (incl. AI), organisation & people, transactions, risk & regulation

3. How a firm makes money

- **Leverage pyramid**: partner (sells, owns the relationship) → principal → engagement manager (runs the day-to-day) → consultants and analysts (do the analysis). Juniors carry most hours at lower rates, so the pyramid's shape drives profit
- **Revenue = headcount × utilisation × billing rate × realisation**
- **Utilisation**: share of hours that are billable · **Realisation**: share of billed value actually collected

✎ DIAGRAM



The leverage pyramid: its shape drives the firm's profit.

4. Fee models

✎ DIAGRAM

Model	How it works	Risk sits with
Time & materials	pay for hours worked	the client
Fixed fee	set price for defined deliverables	the firm
Value-based	part of fee tied to results	shared, needs a baseline
Retainer	recurring fee for access	balanced

Most project work is fixed fee, which is why scope creep matters so much.

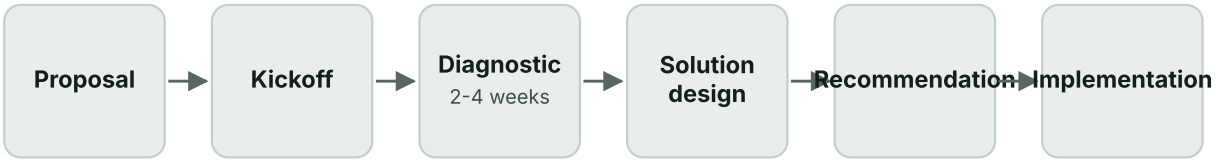
> ⚠ On fixed-fee work every 'small extra analysis' agreed in a hallway is unpaid. Log every request and route out-of-scope work into a change request or phase two.

5. The engagement lifecycle

1. **Origination**: relationship, referral or RFP
2. **Proposal**: situation, objectives, approach, deliverables, team, timeline, fees
3. **Kickoff**: key question, success criteria, governance, data access
4. **Diagnostic**: current state with data, interviews and benchmarks (first 2 to 4 weeks)
5. **Solution design**: develop and test options, size the impact
6. **Recommendation**: final steering committee with an answer, business case and roadmap
7. **Implementation & close**: rollout support, knowledge transfer, follow-on

- **Steering committee** every 2 to 4 weeks; the rule is **no surprises** there, so pre-wire every major finding

✎ DIAGRAM



Knowing where you are in the arc tells you what the client needs from you this week.

SAY IT

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